

OPPORTUNITY REVIEW

SLUHN DTE EXECUTIVE SUMMARY

Benefits of an SLUHN DTE Health Plan





- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees





MARKET LEADER IN PRIVATE LABELED DTE PLANS

Exclusive to KBA Plans:

Integrated Patient Credit Card and Bonus Benefits



SLUHN patients will often receive **cash**,
not bills after care episodes!

- KBA uses innovative supplemental bonus benefits and a no-interest patient credit card to:
 - **Erase deductibles** or sometimes even provide cash back when patients seek care at SLUHN facilities.
 - **Dramatically improve self-pay** rates for patients at SLUHN facilities.
 - **Provide narrow-network steerage** in a PPO plan, so that patients can go elsewhere but rarely will choose to.

SLUHN can offer these new, high-satisfaction benefits to employees as a coverage option (best of all options plan—a broad PPO plan combined with vanishing deductibles for SLUHN care).

COMMUNITY BASED SALES STRATEGY



Locally based sales rep with strong community ties



Collaboration with DTE provider partners to identify strategic employers for early adoption and sales



Work with select broker distribution partners with aligned incentives and goals



Pipeline reporting and collaboration with our DTE provider partners



Marketing and promotion of the new option in the community

COMPLETE MARKETING SYSTEM

- Customized Branding and Messaging
- Customized Brochures
- Customized Web Site
- Targeted Employer Outreach
- Sales System (Social Media, Email, Text, etc.)

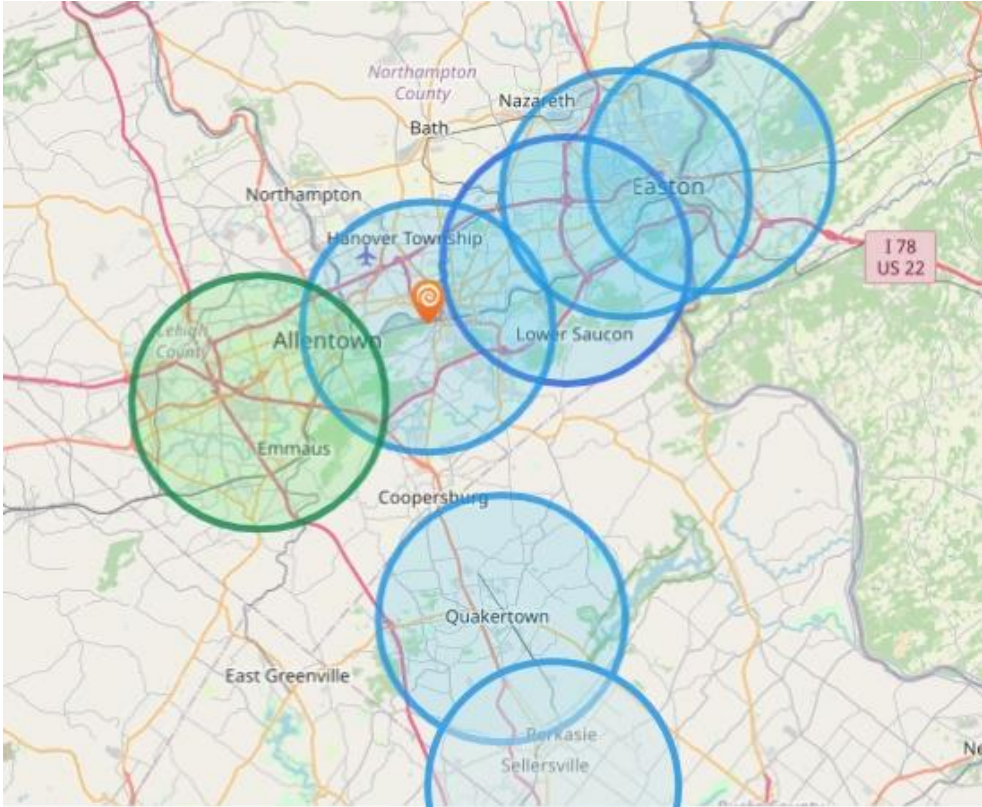


SLUHN ADVANTAGE:

BEST-IN-AREA PATIENT ACCESS



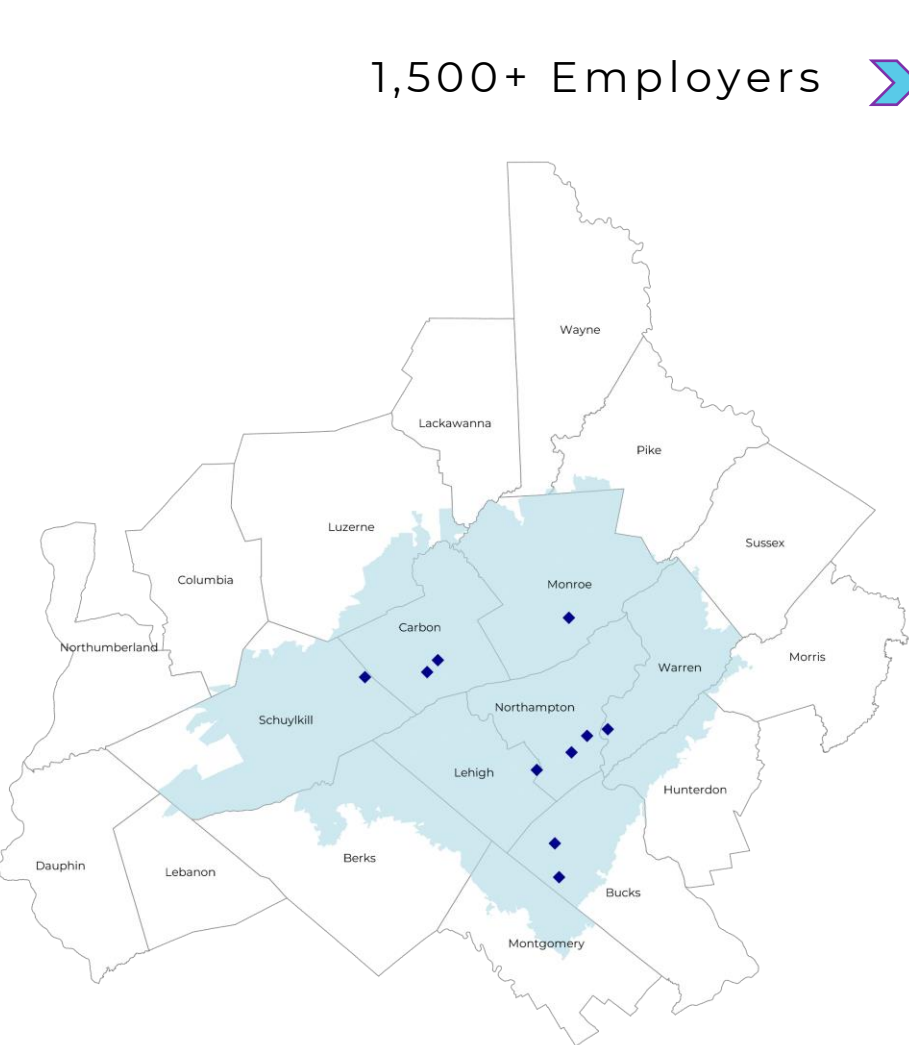
Hospital	Population Within 5 Miles
Lehigh Valley Hospital Cedar Crest	227,393



Hospital	Population Within 5 Miles
St Luke's Hospital - Anderson Campus	142,000
St Lukes Upper Bucks Campus	46,000
St Luke's Hospital Bethlehem	255,000
St Luke's Warren Hospital	118,000
St Luke's Hospital - Easton Campus	141,000
St. Luke's Hospital Monroe County	48,667
St. Luke's Hospital Carbon County	26,628
Grand View Hospital	70,739

SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

RESEARCHED FOR SLUHN SERVICE AREA



Target Market

1,500+ Employers ➤ 300,000+ Employees ➤ 600,000+ Members

	Employer Size Group (# of Employees)					
Commercial Employers With Headquarters In Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	956	385	236	119	31	21
Total Employees at Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	71,700	57,800	70,800	83,300	62,000	126,000
Total Members with Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	129,100	104,000	127,400	149,900	111,600	226,800

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing SLUHN for Inpatient Care	Percent of Members Choosing SLUHN for Outpatient Care
1	1,600	2,900	65%	55%
2	3,100	5,600	65%	55%
3	5,200	9,400	70%	60%
4	7,800	14,000	71%	63%
5	11,000	19,800	71%	64%
6	15,100	27,200	72%	64%
7	20,000	36,000	72%	65%
8	25,700	46,300	72%	65%
9	32,200	58,000	72%	66%
10	39,100	70,400	72%	66%
11	46,300	83,300	73%	67%
12	53,300	95,900	73%	67%
13	59,800	107,600	73%	68%
14	65,600	118,100	73%	68%
15	70,600	127,100	74%	69%
16	74,600	134,300	74%	69%
17	77,900	140,200	74%	69%
18	80,300	144,500	74%	70%
19	82,200	148,000	74%	70%
20	83,600	150,500	74%	70%

KBA currently estimates that Saint Luke's University Health Network has 39% inpatient market share, and 24% outpatient market compared to hospitals/clinics within eight (8) miles of the SLUHN service area.

KBA very conservatively projects this steerage to allow for other partners to be included in the tier 1 level if SLUHN decides.

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **\$35.58M**
New Profit: **\$9.19M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **\$211.65M**
New Profit: **\$55.59M**

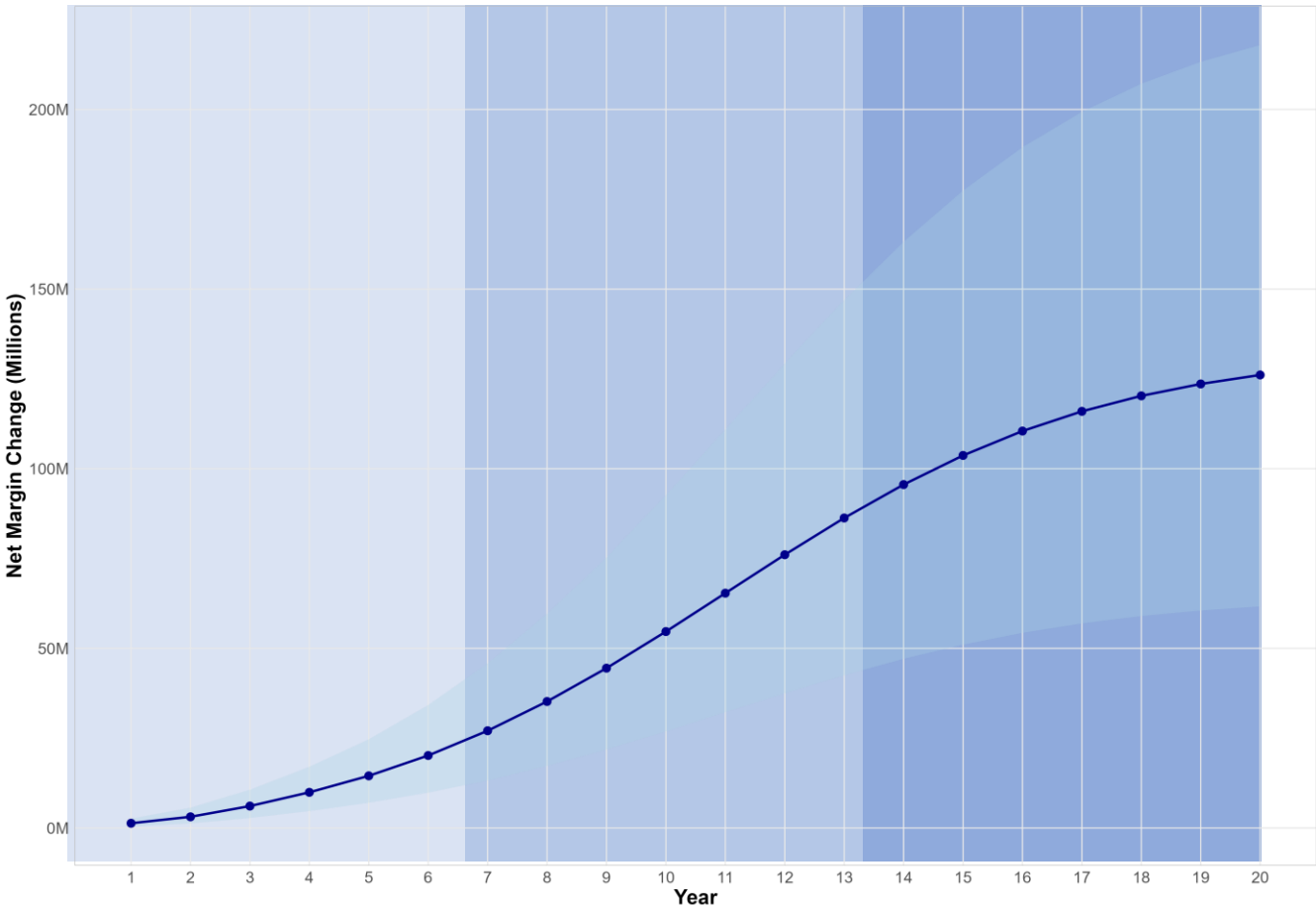
Mature Stage

High Profitability, Market Saturation

New Revenue: **\$432.48M**
New Profit: **\$113.67M**

Saint Luke's University Health Network Long-Term Profit Growth

Variation by Member Growth With Target Estimate Assuming
55%+ Within-Plan Steerage and a Commercial Margin of 25.9%



Direct Costs and Anticipated ROI Through 2029

Target Member Growth					
Metric	2025	2026	2027	2028	2029
Number of Members	0	2,800	5,600	9,300	14,000
Incremental Margin	0	4,687.4K	9,369.0K	18,093.8K	29,178.1K
Network Access Fee (\$1 PMPM)	0	33.6K	67.2K	111.6K	168.0K
Implementation Fee (One-Time)	-150.0K	0	0	0	0
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	-330K	4,541.0K	9,256.2K	18,025.4K	29,166.1K

Direct Costs to SLUHN:

- Set-up fee of 150K (first year only)
- Sales and marketing fee of 180K (yearly)

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming
55%+ Within-Plan Steerage and a Commercial Margin of 25.9%

